

Tax Savings

Built into Every Paycheck

HealthShield combines IRS Section 125 (Cafeteria Plan) with Section 213(d) preventive healthcare benefits — creating instant payroll tax savings for employers and a bonus take-home boost for employees.

Zero upfront cost. Zero out-of-pocket cost. Fully IRS-compliant and backed by Lloyd's of London Tax Position Insurance.

WHAT HEALTHSHIELD DOES

Four outcomes. Every paycheck.

N



1

Increases Employer Profit

Substantial payroll tax savings.



2

Enhances Employee Benefits

And increases take-home pay.



3

Shields Existing Insurance

Sits on top — doesn't replace.



4

Zero Out-of-Pocket Cost

Ever. Full stop. Period.

HOW THE PLAN IS STRUCTURED

Full IRS compliance, by design.

Two pillars of the federal tax code working together to create a Preventive Healthcare Plan.

IRS SECTION 125

Cafeteria Plan

Allows employees to choose from a variety of pre-tax benefits, forming the core structure for tax savings.

THE INTERSECTION

Preventive Healthcare Plan

Integrates tax-advantaged benefits with comprehensive medical expense coverage — ensuring compliance and promoting early detection and overall health.

IRS SECTION 213(D)

Preventive Benefits

Focuses on early detection and comprehensive care to prevent serious health issues before they become claims.

THE LEGAL FOUNDATION

Why preventive care qualifies.

IRS SECTION 213(D)

“Medical care includes amounts paid for the diagnosis, cure, mitigation, treatment, or prevention of disease, or for the purpose of affecting any structure or function of the body.”

Award-winning predictive health platform.

Powered by USHC PredictiMed™ AI — validated annually by the Validation Institute.



Predict

Future Medical Issues

AI-driven Health Risk Assessment surfaces conditions before they become claims.



Predict

Cost of Medical Issues

Quantifies risk burden by condition so prevention dollars target the highest-cost outcomes.



Engage

Employees to Prevent Disease

Personalized Health Dashboard turns insight into action with coaching, virtual care, and behavior modules.



2015–2024
Validation in Predictive Modeling



2022–2024
Validation in Risk Burden
Prediction



2019
Gold • Care Navigation



2020 & 2023
Gold • Population Health
Management

PREDICT & PREVENT FUTURE CONDITIONS

Pre-disease risk burden, quantified.

15% of individuals drive 85% of healthcare costs. 59% of next year's high-cost population comes from this year's low-cost population. Catching them early is the entire game.

PRE-DISEASE RISK

CASES

RISK BURDEN

Hypertension

191

\$517,035

85%

Hypertension	191	\$517,633
Diabetes	158	\$277,228
Back Problems	63	\$971,038
Heart Disease (Male)	40	\$1,091,890
Lung Cancer	27	\$519,381
Colorectal Cancer	24	\$386,131
Depression	20	\$54,291
Prostate Cancer	19	\$178,632
Breast Cancer	13	\$242,659
Peripheral Artery Disease	5	\$75,553
Stroke	5	\$55,275
Heart Disease (Female)	4	\$109,189
Total	569	\$4,478,302

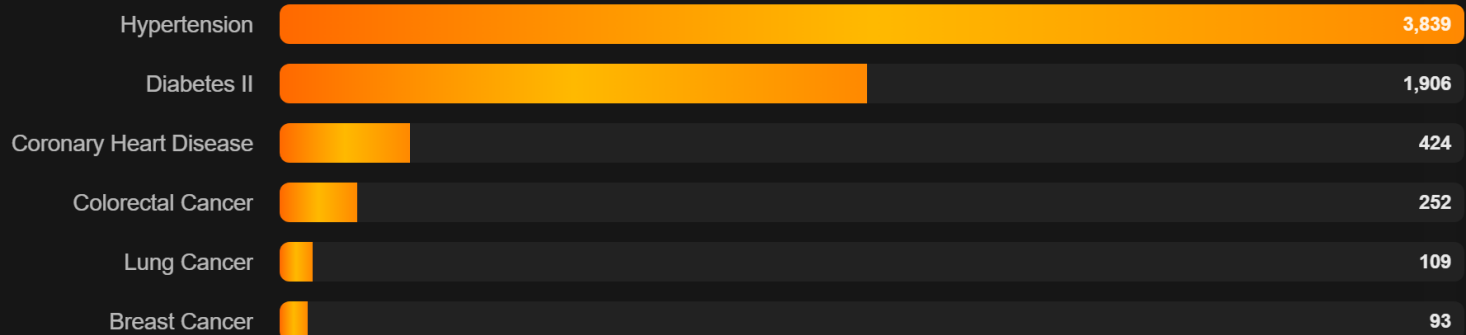
81%
Of healthcare costs driven by just **15%** of individuals.

59%
Of next year's high-cost population comes from this year's **low-cost** population.

\$7,870
Total pre-disease risk burden per HRA participant — preventable.

VALIDATED ALGORITHMS SAVE LIVES

Diseases averted — 5-year case study.





Number of lives where disease onset was averted

THE OTHER HALF OF THE EQUATION

Why the deductions are pre-tax.

IRS SECTION 125

“No amount is included in the gross income of a participant in a cafeteria plan... Qualified benefits include employer-provided health plans excludable from gross income under 106 and 105(b)...”

EMPLOYEE PAYCHECK EXAMPLE

Before & after HealthShield.

Bi-weekly paycheck math on a \$1,600 gross — same income, more take-home.

LINE ITEM	BEFORE	AFTER HEALTHSHIELD
Bi-Weekly Gross Income	\$1,600.00	\$1,600.00
HealthShield Pre-Tax Deduction	\$0.00	(\$553.85)
Taxable Income	\$1,600.00	\$1,046.15
Tax Withholding	(\$236.00)	(\$127.16)
HealthShield Reward	\$0.00	\$461.54
Net Take-Home Pay	\$1,364.00	\$1,380.53

\$35.82
BONUS PER MONTH

\$429.78
BONUS PER YEAR

Sample illustration for informational purposes only. Specific tax outcomes vary by federal and state law. Consult a tax professional.

PROGRAM OVERVIEW

How the dollars flow.

📄 IRS SECTION 125

Employee Pre-Tax Deduction

Cost to participate in the Preventive Healthcare Plan — funds benefits + administration.

🛡️ PREVENTIVE HEALTHCARE PLAN

Monthly Activity + Benefits Suite

Access to coaching, virtual care, pharmacy, labs, urgent care, and behavioral programs.

💰 HEALTHSHIELD REWARD

Post-Tax Reward

Distributed on paycheck for convenience. Not immediately taxable — reconciled against unreimbursed 213(d) expenses.

If unreimbursed 213(d) expenses $\geq$ HealthShield Reward $\times$ 12

→ No portion of HealthShield Reward is taxable as “other income.”

If unreimbursed 213(d) expenses $<$ HealthShield Reward $\times$ 12

→ The excess is taxable as “other income.”

Tax interpretation provided by Darcy L. Hitesman, Esq. · HitesmanLaw, P.A.

EMPLOYER PAYROLL SAVINGS EXAMPLE

Profit kept in the organization.

Monthly payroll math on a \$2,600 gross — every payroll cycle.

LINE ITEM	BEFORE	AFTER HEALTHSHIELD
Monthly Gross Income	\$2,600.00	\$2,600.00
HealthShield Pre-Tax Deduction	\$0.00	(\$1,200.00)
Employee's Gross Taxable Income	\$2,600.00	\$1,400.00
Employer's FICA Contribution	\$198.90	\$107.10
HealthShield Admin Fee	—	(\$35.00)
Net Employer Savings	—	\$56.80

\$56.80

SAVINGS PER MONTH

\$681.60

SAVINGS PER EMPLOYEE, PER YEAR

HOW IT WORKS FOR EMPLOYEES

As easy as staying subscribed.

1 Health Risk Assessment

One-time required activity (any month)

- ✓ Complete the HRA in under 10 minutes.
- ✓ Customizes the Personal Health Dashboard™ (PHD).
- ✓ Predicts future risk burden with PredictiMed™ AI.

2 Qualifying Activities

Ongoing — pick what fits your life.

- ✓ Digital health newsletter
- ✓ 24/7 Virtual Care
- ✓ Behavioral health modules
- ✓ Stress & sleep programs
- ✓ Complete RN™ Health Coaching
- ✓ Health videos
- ✓ Surveys & assessments



Desktop



Mobile



Tablet

Members access HealthShield from anywhere.

EMPLOYEE BENEFITS SUITE

Best-in-class benefits, always included.



Complete RN™ Health Coaching

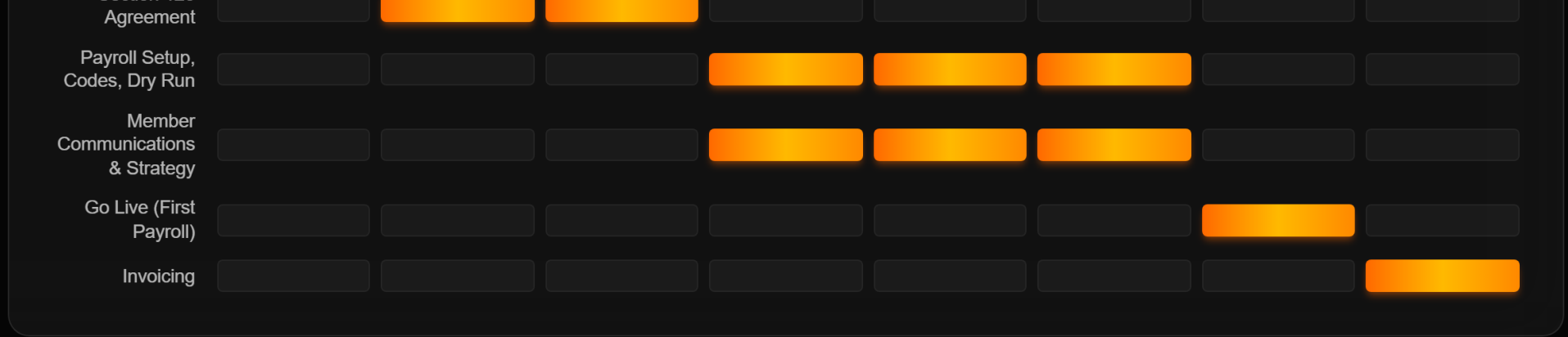
- ✓ Telephonic Coaching
- ✓ Nutrition Education

Virtual Care

- ✓ Dependent Coverage Up to Age 26
- ✓ \$0 Copay
- ✓ 24/7 Urgent Care

HealthShield+™ (included)

- ✓ In-Person Urgent Care / \$0 Copay
Up to 3 visits per year • 7,000+ locations
- ✓ QuestSelect™ Labs / \$0 Copay
Unlimited blood work • 1,200+ tests • 2,250+ locations



 **WEEK 1**
Initial analysis + proposal

 **WEEKS 2–3**
Contracting + ACH

 **WEEKS 4–6**
Payroll setup + communications

 **WEEK 7**
Go live — first payroll

TAX CODE REFERENCE

Read the source for yourself.

Every claim in this document is grounded in the IRS's own publications. Links below.

IRS · SECTION 125

"In general, no amount is included in the gross income of a participant in a cafeteria plan... Qualified benefits include employer-provided health plans excludable from gross income under 106 and 105(b)..."

IRS · SECTION 213(D)

"Section 213(d)(1) defines 'medical care' to include amounts paid for the diagnosis, cure, mitigation, treatment, or prevention of disease, or for the purpose of affecting any structure or function of the body."

IRS · SECTION 105(B)

"...deductions allowed under section 213 for any prior taxable year, gross income does not include amounts... paid, directly or indirectly, to the taxpayer to reimburse the taxpayer for expenses incurred by him for the medical care of the taxpayer, his spouse, and his dependents."

 IRS · REV. RUL. 69-154

"The Internal Revenue Service has been asked to state its position concerning the taxability of 'excess indemnification' received through medical insurance..."

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